Chapter 8

Pure Versus Eclectic Utilitarianism: The Writings of Bastiat and Mill

We have seen how the combination of both the utility theory and labor theory perspectives, in the writings of Smith and Ricardo, seemed to lead to conclusions suggesting that capitalism was characterized both by social harmony and by class conflict. Say and Senior "sanitized" classical political economy by rejecting the labor theory perspective and arguing that a knowledge of the true principles of political economy would show that the interests of all classes were in harmony. They explained all existing conflicts as resulting from ignorance and misunderstanding. The doctrines of Say and Senior (and Malthus as well) attempted to show how the ultimate or hidden interests of the poor, when understood in the light of "scientific" political economy, were identical to the immediate and obvious interests of the propertied, wealthy, and powerful.

Thompson and Hodgskin adopted the labor theory perspective. They believed that as long as the immediate producers of wealth—the workers—did not have any control over the means of production, class conflict would be inherent in capitalism. Both men identified with the cause of working people, and both advocated social change designed to transform the class structure of capitalism. Both of these writers, however, by basing many of their ideas on the utilitarian philosophy, were involved in contradictions not unlike those of Smith and Ricardo.

The radical or socialist influence of the labor theory perspective of classical political economy spread rapidly between 1820 and 1850. Socialists began exerting considerable influence on the growing working class movements during this period. Conservatives, therefore, began to look with more and more urgency for new versions of political economy based on pure utilitarianism. The two most significant books on economic theory to appear around the mid-nineteenth century were John Stuart Mill's *Principles of Political Economy*

(published in 1848) and Frédéric Bastiat's *Economic Harmonies* (published in 1850). Mill's book was the last great effort to retain both the utility and labor perspectives within the same body of economic doctrines. Bastiat's book represented the final product, in most essential respects, of pure economic utilitarianism pushed to its logical conclusions.

The Spread of Socialist Ideas

Socialist economic ideas unquestionably had their principal intellectual roots in English classical political economy. Through the writings of Thompson and Hodgskin, these economic doctrines found their way into the Owenite movement in England, exerting considerable influence in the 1830s. However, socialist ideas grew fastest in France, having their greatest influence in the 1830s and 1840s.

Socialism could be said to have derived equally from both English and French ideas, even though its economic doctrines originated mostly in England. The left wing of the French revolutionary movement in the eighteenth century produced many socialist ideas. One of its leaders was Gracchus Babeuf (1760–1797). After the fall of Robespierre, he masterminded a conspiracy to topple the French government and replace it with one dedicated to equality and brotherhood. The plot was betrayed and Babeuf was executed.

In his writings, Babeuf argued that nature made all people equal in rights and needs. Therefore, the inequalities of wealth and power that had developed should be redressed by society. Unfortunately, most societies did the opposite: they set up a coercive mechanism to protect the interests of the property holders and the wealthy. For Babeuf, the presence of inequality meant the presence of injustice. Capitalist commerce existed, he said, "for the purpose of pumping the sweat and blood of more or less everybody, in order to form lakes of gold for the benefit of the few."[1] The workers who created the wealth of society got the least; and until private property was eliminated, the inequalities in society could never be redressed.

Henri de Saint-Simon (1760–1825) was also influential. He came from an impoverished family of nobility and had an aristocrat's disdain for the antisocial egoism of the wealthy capitalists of his era. He condemned the pernicious moral effects of individualistic competition and stressed the social value of planned cooperative production. He also condemned the large number of idle rich who lived off the industriousness of working people. He sanctioned private property when it was used to promote the welfare of the masses, but he insisted that only extensive government intervention in production, distribution, and commerce could ensure this.

Many of Saint-Simon's followers were more radical, however. They wrote endless pamphlets and books exposing the abuses of capitalism, attacking private property and inheritance, denouncing exploitation, and advocating government ownership and control of economic production in the interest of the general welfare.

Socialist cooperatives were popularized in France by Charles Fourier in the 1830s. He believed that in a capitalist economy only about one-third of the people really did socially useful work. The other two-thirds were directed, by the corruption and distortion caused by the market system, into useless occupations or were useless, wealthy parasites. He urged the productive members of society to escape this oppression and tyranny by voluntarily forming cooperatives (or "phalanxes," as he called them). He was also one of the first socialists to perceive that competition among capitalists would inevitably lead to monopoly:

> Among the influences tending to restrict man's industrial rights, I will mention the formation of privileged corporations which, monopolizing a given branch of industry, arbitrarily close the doors of labour against whomsoever they please. . . . Extremes meet, and the greater the extent to which anarchical competition is carried, the nearer the approach to *universal monopoly,* which is the opposite excess. . . . Monopolies, . . . operating in conjunction with the great landed interest, will reduce the middle and labouring classes to a state of commercial vassalage. . . . The small operators will be reduced to the position of mere agents, working for their mercantile coalition. We shall then see the reappearing of feudalism in an inverse order, founded on mercantile leagues, and answering to the Baronial Leagues of the Middle Ages.[2]

In the 1840s, and for several decades thereafter, the most influential French socialist was Pierre Joseph Proudhon (1809–1865). In his well-known book *What Is Property?* he answered the question posed in the title with the slogan that made him famous: "Property is theft." He believed that property was "the mother of tyranny." Because property rights were simply sets of special privileges for the few and general restrictions and prohibitions for the masses, they necessarily involved coercion in order to be established and continually enforced. Hence, the primary function of the state was to coerce.

Property rights were the source not only of tyranny and coercion but also of economic inequality. Whereas the amount of labor expended determined how much was produced in a capitalist society, ownership of property determined the division of the produce so that those who produced got almost nothing and those who owned property could use the laws of private ownership to "legally steal" from the workers. Proudhon's ideal society rejected not only capitalist property relations but industrialization as well. He envisioned a golden age of small-scale agriculture and handicraft production in which each farmer and worker owned individual capital and no one lived through property ownership alone.

Foundation and Scope of Bastiat's Utilitarian Economics

In the 1840s the influence of French socialism was rapidly expanding. Within this context, Frédéric Bastiat (1801–1850) attempted to establish the sanctity of private property, capital, profit, and the existing distribution of wealth—in general, competitive laissez-faire capitalism. He did this by consistently ex-

tending the principles of utilitarianism into economic theory (although, as we will see, the utility theory of value was not given its final, modern formulation until more than two decades later, in response to the growing influence of socialist ideas).

The title of Bastiat's most important book, *Economic Harmonies,* showed the importance he placed on refuting the notion that class conflict was inherent in capitalism. In defense of his doctrines, he (like Senior) claimed the authority of *Science.* In discussing the distinction between "scientific" political economy (where his favorites were clearly Say and Senior) and socialism (where his most despised opponent was clearly Proudhon) he wrote:

> What makes the great division between the two schools is the difference in methods. Socialism, like astrology and alchemy, proceeds by way of imagination; political economy, like astronomy and chemistry, proceeds by way of observation.
>
> Two astronomers observing the same phenomenon may not reach the same conclusion. Despite this temporary disagreement they feel the bond of a common method that sooner or later will bring them together. . . . But between the astronomer who observes and the astrologer who imagines, there stretches an unbridgeable gulf . . .
>
> The same is true of political economy and socialism.
>
> The economists observe man, the laws of his nature and the social relations that derive from these laws. The socialists conjure up a society out of their imagination and then conceive of a human heart to fit this society.[3]

He (like Malthus) also placed the authority of religion in defense of his doctrines:

> Proclaiming in the name of faith, formulating in the name of science, the divine laws . . . of our dynamic moral order, we utterly reject the . . . institutions that some men in their blindness would heedlessly introduce into this admirable mechanism. It would be absurd for an atheist to say: *Laissez faire!* Leave it to chance! But we, who are believers have the right to cry: *Laissez passer!* Let God's order and justice prevail. *I believe in God.*[4]

> Indeed, if this work differs . . . from the works of the socialists, it is because they say: "We do indeed pretend to believe in God, but in reality we believe only in ourselves, since we want nothing to do with *laissez faire,* and each and every one of us offers his social plan as infinitely superior to that of Providence.[5]

Having thus established the scientific and religious superiority of his ideas, Bastiat began a consistent development of utilitarian economics. We saw in the preceding chapter that utilitarianism provides no basis for judging two situations if the utility of one individual is decreased in the second situation, even though the utility of all other persons increases. We also saw that if we accept the existing distribution of wealth as ideal and just (or if we ignore the distribution completely), voluntary market exchanges are the paradigm of an instance in which total utility unambiguously increases between two situations. The utility of both individuals is increased after the exchange from what it had been; unanimity prevails. Bastiat quoted with approval from Condillac: "The

very fact that an exchange takes place is proof that there must necessarily be profit in it for both the contracting parties; otherwise it would not be made. Hence, every exchange represents two gains for humanity."[6]

Utilitarianism requires unanimity. Once one accepts the initial distribution of "exchangeable things," voluntary exchange is one of the few aspects of social life in which such unanimity exists between socially interacting persons. Both the requirement of unanimity and its fulfillment in the act of exchange are of great importance to modern neoclassical economics. In neoclassical utilitarian economics, all economic, social, and political interactions among human beings are reduced to acts of exchange. Once such a reduction is made, the result is obvious. Utilitarian economic theory reduces to this syllogism:

> *All exchanges are mutually beneficial to all parties.*
> *All human interactions can be reduced to exchanges.*
> *Therefore, all human interactions are beneficial to all parties.*

It was in the writings of Bastiat that the utility approach was first consistently developed so as to reduce all economic theory to a mere analysis of market exchange. "Exchange is political economy," Bastiat declared, "it is society itself, for it is impossible to conceive of society without exchange or exchange without society."[7]

When Bastiat proclaimed that "exchange is political economy," he had certainly gone a good distance from Adam Smith, who had devoted only a few dozen pages to exchange in the nearly 1,000 pages of *The Wealth of Nations,* or from David Ricardo, who had defined political economy as the study of the laws regulating the distribution of the economy's produce among the three great classes of society.

Smith's few pages devoted to a description of the "invisible hand" had, with Bastiat, become the whole of political economy. The sanitizing job was complete. Making the claims that "exchange is political economy" and that "political economy is restricted to the area we call *business,* and business is under the influence of *self-interest,*"[8] Bastiat set out to prove that "all men's impulses, when motivated by legitimate self-interest, fall into a harmonious social pattern."[9] He addressed his book to all classes and promised to prove that laissez-faire capitalism was the best possible economic system for everyone:

> Property owners, however vast may be your possessions, if I prove that your rights, which people today so vehemently contest, are confined, as are those of the simplest manual worker, to receiving services in return for real services performed by you or your forefathers, then these rights of yours will henceforth be beyond challenge. . . .
>
> Capitalists and laborers, I believe that I can establish the law: "In proportion as capital accumulates, the *absolute* share of capital in the total returns of production increases and its relative share decreases; labor also finds that its *relative* share increases and that its *absolute* share increases even more sharply. The opposite effect is observed when capital is frittered away." If this law can be established, it is clear that we may conclude that the interests of workers and employers are harmonious.[10]

Utility and Exchange

Bastiat's demonstration of the universal harmony of capitalism relied on several "scientific laws" that he believed would be readily confirmed by casual observation. "We cannot doubt," he declared, "that self-interest is the mainspring of human action."[11] The immediate motives to action were human wants. Human desires or wants were insatiable, but the means to satisfy them were limited: "*Desire* runs ahead, while the *means* limp along behind."[12] Satisfaction of wants yields pleasure: "If we give the name of utility to everything that effects the satisfaction of wants, then there are two kinds of utility. One kind is given us by Providence without cost to ourselves; the other kind insists, so to speak, on being purchased through effort."[13] Thus, the universal principle of human action was this: "Our *self-interest* is such that we constantly seek to increase the sum of our satisfactions in relation to our efforts."[14] This was simply a restatement of Bentham's principle of utility maximization, and it has stood at the heart of conservative economic theory from Bastiat to the present.

Bastiat's separation of utility into two kinds represented his attempt to make prices depend on utility and to obviate Smith's water–diamond paradox. Had he read Bentham more carefully, he might have developed the marginal utility concept of later neoclassical economists. However, he argued that nature gave us some utility, such as that gratuitously gotten from water, whereas most utility, such as that gotten from diamonds, required effort or pain. This latter utility he called "onerous utility." The objects that yielded onerous utility were those requiring human effort to produce. Such productive human effort he called "service." Central to Bastiat's approach was his insistence that labor was only one type of service that was not qualitatively different from other productive services performed by landlords and capitalists.

An isolated individual would perform all productive services for him or herself. But that individual's existence would be precarious and his or her material welfare meager. People lived in societies because they could then divide their labor, specialize, increase production, and exchange the fruits of the increased production. In society, then, people performed services (i.e., undertook productive effort) for others. Exchange was, in reality, an exchange of services that inevitably increased people's utility above what they could obtain by providing productive services only for themselves. Thus in an exchange society, service was defined by Bastiat as "*effort* on the part of one man, whereas the *want* and the *satisfaction* are another's."[15]

The above definition of service is important to an understanding of the social class orientation of Bastiat's writings. Productive effort, he insisted, was painful. People could satisfy needs "only by an effort that we call *taking pains*."[16] Such productive effort, having already been defined as painful, was equated with service. Therefore, service meant pains endured by people in order for production to take place.

One of the major inconsistencies of Bastiat's writings, which recurred again

and again, was that once he had defined service as a human pain endured for the sake of production, he repeatedly referred to services as the use of those qualities in *material objects* that render such objects desirable.

A theme to which we have returned several times in this book is that a thinker's inconsistencies are often the most fruitful indication of the thinker's class bias. This is because such class bias is often more consistent than a thinker's logic. So it was with Bastiat. His principal objective was to defend the private ownership of capital. In doing so, like Say and Senior, he desired to make the contribution of the capitalist and landlord to production appear similar to the contribution of the laborer. He insisted that the capitalist and landlord both provided services and thus both endured pain. But as we shall see, the services for which capitalists and landlords were paid frequently turned out simply to be allowing others to use the tools and land that were necessary for production. At such points in Bastiat's discussions, one is at a loss to see how the capitalist and landlord suffer pain.

For example, after defining service as human productive pain and then extolling the importance of the division of labor and exchange, Bastiat wrote:

> Once it is admitted that exchange is both the cause and the effect of the division of labor, once it is admitted that the division of labor multiplies *satisfactions* in relation to *effort,* . . . the reader will readily understand the services money has rendered humanity by the mere fact that it facilitates the act of making an exchange.[17]

We see then that *money rendered an important service.* The owner of money, of course, received *interest.* But how are owning money and receiving interest painful in a way that promotes society's productivity?

Having established that selfish individuals found specialization and the exchange of productive services and commodities to be the most effective way to maximize utility, Bastiat went on to discuss exchange value. Nature's contributions to utility, he insisted, were never priced. Human contributions, in the form of productive services, were priced in proportion to the utility derived from them by their buyer:

> Say's axiom was this: the basis of value is utility.
>
> If it were a question here of utility as related to human services, I should have no argument with him. . . . The word service is so completely included in the area of utility that it is simply the translation . . . of the Latin word *uti,* to *serve.*[18]

> Since products and services are interchanged, they must necessarily have something in common, something against which they can be compared and appraised, namely, *value.*[19]

> Value is not transmitted from the material object to the service, but from the service to the material value.[20]

In viewing the utility of services as the origin of the utility and hence of the value of products, Bastiat reversed the line of causality that was to become

standard in neoclassical utility theory. In this respect, Say was much closer to the later neoclassical school than was Bastiat, but Bastiat's theory was directly conducive to the achievement of his principal aim—to show that landlords and capitalists created value and wealth in the same way that labor did. Having said that utility is the source of value and having equated the value of products with the value of the services required to produce them, Bastiat never developed a theory of exactly how utility determined the value of services and thereby determined the value of products. Such a theory was not to be worked out until the early 1870s, after Marx's radical version of the labor theory of value had begun to exert widespread influence.

Bastiat's Defense of Private Property, Capital, Profits, and Rent

Bastiat set out to defend private ownership of land and capital, explain the nature of the services provided by landlords and capitalists, show that everyone benefited from the rigid enforcement of the laws of ownership and from free exchange, and show that the unfettered accumulation of capital benefited the laborers as much as it benefited the capitalists, if not more. On the basis of these suppositions, he was convinced that laissez-faire capitalism was a harmonious system that universally benefited all people.

Bastiat first defended the sanctity of the laws of private property. His defense was simple: private property was a *natural law* created by God and existing before any man-made laws. Therefore, human laws that recognized this conformed to natural law and God's will; human laws that infringed on property rights were unnatural and contrary to God's will. "Property does not exist because there are laws," he insisted, "but laws exist because there is property."[21]

To Bastiat, property was a necessary consequence of the nature of man:

> In the full sense of the word, man *is born a proprietor,* because he is born with wants whose satisfaction is necessary to life, and with organs and faculties whose exercise is indispensable to the satisfaction of these wants. Faculties are only an extension of the person; and property is nothing but an extension of the faculties. . . . That is why we believe that property has been divinely instituted, and that the object of human law is its *protection* or *security.*[22]

But it was not enough to insist on the sacredness of property. Hodgskin would have agreed with the above quotation, but he would have insisted that it was *unnatural* and *unjust* that the land and tools, which were extensions of people's productive faculties, were nearly all owned by those who did not *use* them as such, that is, by those who did not produce with them. Therefore, Hodgskin would have agreed that property ownership was natural but would have asserted that *capitalist property ownership* was unnatural because it was the means by which the idle robbed the industrious.

Recognizing this, Bastiat went further. He began by giving the wealthy the following reassurance:

> Men of property and leisure . . . you are still strangely disturbed. Why? Because the sweet-smelling but deadly perfume of utopia threatens your way of life. There are men who say, who rant, that . . . [your fortune] has been acquired at the expense of your brethren. They say that you . . . have exacted a tribute . . . in the name of property, of interest, of rent, and hire. . . .
>
> But I say no . . . all that has passed . . . [to] you has been *compensation* for mental and physical effort, for sweat and toil expended, for dangers faced, for skills contributed, for sacrifices made, for pains taken, for *services rendered and received.* You thought only of yourselves, perhaps, but even your own self-interest has become in the hands of an infinitely wise and all-seeing Providence an instrument for making greater abundance available to all men.[23]

In defense of profits on capital, Bastiat first pointed to the obvious necessity for workers to use previously produced means of production. Then he asked how these means of production had come into existence. A labor theory of value would have led to the conclusion that, like all other commodities, they were the result of human labor exerted in the transformation of natural resources. But, taking capitalist property relations as eternal and sacred, Bastiat insisted that they were the result of pain suffered by capitalists:

> Capital has its roots in three attributes of man: foresight, intelligence, and thrift. For him to resolve to lay aside capital funds, . . . [a capitalist] must sacrifice the present for them, [and] exercise control over himself and his appetites. . . . To accumulate capital is to provide for the subsistence, the protection, the shelter, the leisure, the education, the independence, the dignity of generations to come. None of this can be done without putting into practice all our most social virtues, and, what is harder, without making them our daily habit.[24]

Bastiat never even considered the socialists' belief that an ordinary worker earned in wages just enough (and sometimes less) for his or her family's subsistence; that there was utterly no possibility for him or her to save the millions necessary to become a capitalist from the meager paycheck received; that in actual fact the origins of most capitalists' fortunes were deceit, treachery, fraud, coercion, and bribery; and that once capitalism was established, after a generation or two, the origin of most capitalists' fortunes was inheritance. From the profits on their capital, capitalists, whether they were virtuous or vicious, intelligent or stupid, thrifty or profligate, could devote a portion to the accumulation of more capital—for more future wealth, income, and power—and devote a portion to luxury and extravagant consumption.

The only sacrifice capitalists would have to make, the only pain they would have to endure, was twofold: first, they had to use their capital to make more profits rather than, for example, simply letting their factory stand idle; and second, they could not become so extravagant and profligate that they killed the goose that laid their golden eggs—that is, they had to live off their profits, interest, and rents and not dissipate the inherited fortune that gave them their power. Such were the sufferings and privations that Bastiat believed morally entitled capitalists to their profits, interests, and rents.

It was no accident that Bastiat did not look at the actual, historical origins of the great family fortunes of his day, for this would have destroyed his argument for the absolute sacredness of inheritance laws. After stressing the naturalness, holiness, and sacredness of property rights, he wrote:

> The same holds true of inheritance. No theory, no flights of oratory can succeed in keeping fathers from loving their children. The people who delight in setting up imaginary societies may consider this regrettable but it is a fact. A father will expend as much *effort,* perhaps more, for his children's satisfactions as for his own. If, then, a new law contrary to Nature should forbid the bequest of private property, it would not only in itself do violence to the rights of private property, but it would also prevent the creation of new private property by paralyzing a full half of human *effort.*[25]

Thus, eliminating inheritance laws would paralyze the moral virtue that underlay the pain and effort required to allow a capitalist's factory to be a source of profits to him or her, rather than to let it sit idle or to burn it down. Thus, love rather than self-interest was the motive defended by Bastiat and attacked by the socialists! It will be remembered that one of Thompson's arguments for a society of mutual cooperation was that only in such a society could all children (not just those fortunate enough to have been born of wealthy parents), as well as all others who for various legitimate reasons could not contribute to production, be spared the insecurity of competitive capitalism.

Bastiat's defense of private ownership of land was equally simple: no rent accrued to landowners simply by virtue of the natural, untouched, virgin qualities of the earth. All rent was due to human improvements of the soil. Therefore, land was simply capital that could not be moved about in the same manner as tools and machinery:

> The land as a means of production, insofar as it is the work of God, produces *utility,* and this utility is gratuitous; it is not within the owner's power to charge for it. The land, as a means of production, insofar as the landowner has prepared it, worked on it, enclosed it, drained it, improved it, added other necessary implements to it, produces *value,* which represents human *services* made available, and this is the only thing . . . [the landlord] charges for.[26]

Bastiat offered no theory whatsoever to show, contrary to Smith and Ricardo, that no rent was paid for the use of the original qualities existing on and in the earth; he simply asserted it.

Furthermore, Bastiat's claim that he looked at facts while socialists constructed their theories from fancy and imagination is strained to the breaking point in this argument. Did he look around at the wealthy, powerful landowners, living in palatial mansions in Paris and other French cities, and see them donning their work clothes and trudging out to their fields to prepare them, work on them, enclose them, drain them, and improve them? If he had gone to the fields, he would have observed peasants doing this work and paying rents to absentee landlords, or wage workers doing this work for capitalist farmers who were paying rents to absentee landlords.

Ultimately, the pain and efforts of the landlords were similar to those of the capitalists: they endured having their land worked by others in order to receive rents, rather than letting their lands lie unused.

Bastiat's View of Exchange, Social Harmony, and the Role of Government

Having established the sacredness of private property and the "productive pains" endured by landlords and capitalists, the universal beneficence of exchange followed. Labor could not produce without natural resources and capital. Wealthy people had to suffer pain to let these resources and capital be used in production. All of society was better off if production took place than if it did not. Therefore, when, through exchange, workers sold their labor power (i.e., capacity to work) and capitalists and landlords extracted their profits and rents, everyone benefited and social harmony prevailed. Bastiat was fond of stressing the freedom that existed in such a system. Workers had a choice of starving or exchanging their labor power for a subsistence wage. They freely engaged in such an exchange, and, therefore, exchange benefited them as well as the capitalists and landlords.

To be sure, Bastiat stressed the notion that for exchange to be universally beneficial, competition had to prevail. He saw the government, however, as the principal source of barriers to such competition. So he appealed to government to restrict itself to "the maintenance of liberty, property, and individual rights."[27] Thus, the government was to restrict itself to the protection of all the privileges of private property as well as the liberty or individual right to engage in exchange. He recognized that "government action involves coercion by its very nature,"[28] but both Nature and God join to give people an absolute right "to defend, *even by their joint force,* the individual's liberty and property."[29]

Bastiat never asked himself why governments created conditions of monopoly and other impediments to free competition. If he had, he would have discovered that it was because a monopoly is more profitable than a competitive enterprise. Insofar as everyone was motivated by self-interest, it was more advantageous for government officials to take the bribes or campaign contributions from the wealthy than to follow Bastiat's prescription. The capitalists and the government officials merely engaged in an exchange: bribes for legislation protecting monopoly power. As Bastiat's own theory would have predicted, both parties to the exchange benefited. Individuals in government obtained the financing necessary to remain in power and to lead a "commodious" life, while capitalists obtained the legal restrictions necessary to make more profits than the mere enforcement of their property rights would have made possible. Both parties to the exchange benefited, but the public suffered. It is no wonder that, in his system of harmony, Bastiat ignored this type of exchange. He was much more concerned with socialists than he was with capitalists bribing government officials.

Bastiat was struck with the esthetic beauty of capitalism and its political economy: "Political economy does . . . have its own special poetry. Whenever there is order and harmony, there is poetry."[30] But he was not unaware that workers did sometimes suffer hardship or deprivation: "Suffering," he wrote, "has a role to play in the life of the individual and, consequently in that of society as well."[31] But here, again, the harmony of laissez-faire capitalism came to the rescue. To reassure workers, he wrote:

> Therefore, having established that every increase in capital is necessarily accompanied by an increase in the general welfare, I venture to present as incontrovertible the following axiom relating to the distribution of this prosperity:
>
> *As capital increases, the capitalists' absolute share in the total production increases while their relative share decreases. On the other hand, the workers' share increases both relatively and absolutely.*[32]

The "proof" of this proposition was simple, Bastiat asserted: "*The more plentiful capital is, the lower its interest rate.* Now this point is not open to question, nor has it been questioned."[33]

This was a logical error. The belief that there is a tendency for the rate of profit to fall as capital is accumulated has been one of the most consistently held opinions among economic theorists, from Smith and Ricardo to Marx, and, in the twentieth century, John Maynard Keynes. But a decline in the rate of profit accompanying an increase in the amount of capital in the hands of capitalists does *not* necessarily indicate a decrease in the relative share of production going to capitalists. If the percent increase in capital sufficiently exceeds the percent decrease in the rate of profit, then the capitalists' relative share of production will increase and the laborers' relative share will decrease. Once again, a logical error clearly indicates the class bias of a theorist.

In summary, Bastiat's answer to the socialists' assertion that there were "fundamental antagonisms . . . between the property owner and the worker, between capital and labor, between the common people and the bourgeoisie"[34] was simple. "Men's interests are harmonious; therefore, the answer lies entirely in this one word: *freedom.*"[35] Freedom of exchange and the protection of property—such was Bastiat's ultimate answer to all social ills. Such freedom was, of course, the freedom to prevent workers coercively from producing unless wealthy property owners were permitted to extract the profits, rents, and interests that resulted from owning the means of production.

Mill's Utilitarianism

The last great attempt to integrate the labor theory of value and the utilitarian perspective was made by John Stuart Mill (1806–1873) in his *Principles of Political Economy,* first published in 1848. Mill claimed to be a disciple of both Bentham and Ricardo. His writing, however, nearly always had one distinctive characteristic: he tried to be fair-minded and judicious in his presentation

of any doctrine and, consequently, presented modifications, extensions, and numerous qualifications to nearly every principle he asserted. Frequently the modifications were so significant—as in the case of his development of both Bentham's utilitarianism and Ricardo's labor theory of value—that the doctrine he ended with was totally different from the doctrine that he first asserted. Ultimately, however, Mill was neither a utilitarian nor a proponent of the labor theory of value. It was also frequently the case that his qualifications of any principle were so extensive and so persuasively argued that their cumulative effect was to suggest to the reader—and frequently to give a lucid and convincing defense for—the validity of principles quite contradictory to those espoused by him. As a result, both Mill's social philosophy and his economic theory were eclectic and often inconsistent.

The contrast between Mill and Bastiat could not be more striking. They are discussed in the same chapter because they are the first two clear representatives of a polar bifurcation of utilitarian economics. Bastiat was the precursor of the later Austrian and the contemporary Chicago schools—proponents of extreme conservatism and rigid, uncompromising defenders of laissez-faire capitalism. Mill was the precursor of the much more moderate Marshallian school of neoclassical economics—frequently advocates of liberal reform and government intervention. Mill was Bastiat's superior both as a theoretician and as a scholar. Mill's *Principles* had a breadth of scholarship and an urbane style that put it in a class with Smith's *The Wealth of Nations*. His polished, fair-minded style contrasted sharply with Bastiat's doctrinaire, sanctimonious, and arrogant style. Yet Mill was the eclectic whose doctrines contain major inconsistencies, while Bastiat was the consistent developer of the conclusions implicit in utilitarian psychology and ethics.

Mill began the *Principles* with an assertion that contradicted most economic theorists prior to him and that contradicts contemporary neoclassical economics. "The production of wealth," he wrote, "is evidently not an arbitrary thing. It has necessary conditions."[36] By this, he meant that the laws of matter and the material consequences of given physical techniques of production were the same in all societies. "Unlike the laws of Production," he continued, "those of Distribution are partly of human institution: since the manner in which wealth is distributed in any given society, depends on the statutes or usages therein obtaining."[37] By this he meant that the laws of property and other institutions that affected the distribution of wealth were human institutions that had been changed in the past and would, he believed, be changed in the future.

Unlike Bastiat, he did not believe that Nature or God instituted private property. It was a human convention and thus was "wholly a question of general expediency. When private property . . . [was] not expedient, it . . . [was] unjust."[38] With this rejection of the notion that private property was sacred and the additional rejection of the two most fundamental axioms of utilitarianism (which we will discuss below), it is not surprising that Mill refused to make exchange the heart of political economy: "Exchange is not the fundamental

law of the distribution of . . . produce, no more than roads and carriages are the essential laws of motion, but merely a part of the machinery for effecting it. To confound these ideas seems to me not only a logical, but a practical blunder."[39]

For all consistent utilitarians, from Bastiat to the present, exchange has been the central focal point of all economic theory. Mill's rejection of this approach followed from his rejection of two of the central tenets of utilitarianism. He always professed to be a disciple of Bentham, and one of Mill's best-known works was entitled *Utilitarianism.* Chapter 2 of that work defined utilitarianism, but it obviously contradicted Bentham's definition. If Bentham's philosophy and its intellectual offspring in the history of economic ideas is to be called utilitarianism, Mill's philosophy cannot be; they are radically different. The two fundamental axioms of Benthamite utilitarianism are that (1) all motives can be reduced to the self-interested quest for pleasure, and (2) each person is the sole judge of his own pleasures, and, therefore, interpersonal comparisons of pleasure are impossible (as we argued in the preceding chapter). The second axiom was epitomized in Bentham's statement that if the quantity of pleasure was the same, pushpin was as good as poetry. Benthamite utilitarianism permits no invidious comparisons of qualitatively different sorts of pleasure.

Mill, as we will see later in our discussion, did not believe that all actions were motivated by self-interest. He believed only that most people whose personalities were molded by a competitive capitalist culture acted out of self-interest in their economic behavior. He looked forward, however, to the future, when, in a socialist or communist society, people would act from "higher" or "nobler" motives. Such an invidious comparison of motives is totally alien to utilitarianism, which reduces all motives to self-interest and views such judgments as merely reflective of personal, subjective biases.

Mill also insisted that some pleasures could be judged as morally superior to other pleasures. If this is true, and the present writers certainly agree with Mill here, then there must be some higher principle than the pleasure principle of utilitarianism whereby moral judgments among different pleasures become possible. Obviously, this higher principle, and not the utilitarian pleasure principle, would be the source of ethical judgments. Mill repeatedly asserted that "some *kinds* of pleasure are more desirable and more valuable than others."[40] In other words, regardless of the quantity of pleasure involved, poetry may be judged to be more desirable and more valuable than pushpin. Obviously this is contrary to utilitarianism. Pleasure, in this view, is not the ultimate normative criterion. Mill had no doubt that it was "better to be a Socrates dissatisfied than a fool satisfied."[41] This utterly destroys the basis on which utilitarian economists since Bastiat have constructed normative economic theories, and have attempted to show the universal beneficence of exchange. We must, therefore, conclude that despite the fact that Mill claimed to espouse a utilitarian point of view, and despite the fact that utilitarianism significantly influenced his views, he was certainly not a consistent utilitarian.

Mill's Theory of Value

Mill began Chapter 1 of Book 1 of the *Principles* with a statement of the labor theory perspective; that is, production consisted simply of labor transforming natural resources: "The requisites of production are two: labour and appropriate natural objects. . . . In all but . . . [a] few . . . unimportant cases, the objects supplied by nature are only instrumental to human wants, after having undergone some degree of transformation by human exertion."[42] In keeping with his claim of being a disciple of Ricardo, Mill started with something very close to a labor theory of value:

> What the production of a thing costs its producer, or its series of producers, is the labour expended in producing it. . . . At the first glance indeed this seems to be only a part of . . . [a capitalist's] outlay, since he has not only paid wages to labourers, but has likewise provided them with tools, materials, and perhaps buildings. These tools, materials, and buildings, however, were produced by the labour and capital; and their value . . . depends on cost of production, which again is resolvable into labour. . . .
>
> . . . The value of commodities, therefore, depends principally (we shall presently see whether it depends solely) on the quantity of labour required for their production.[43]

Thus, according to his claim of being a disciple of Ricardo, Mill appeared to have stated a labor theory of value. But the last sentence of the above quotation is important. He went on to claim that while labor was the most important determinant of value, it was not the only determinant. Just as his qualifications of Bentham's pleasure principle ultimately constituted an antagonistic critique of utilitarianism, so his qualifications of the labor theory of value culminated in a rejection of that theory.

The labor theory of value held, Mill argued, only when the ratios of capital to labor were the same in all industries; in that case, the costs of production would be proportional to the labor embodied in the various commodities. But this was not the case for most commodities. For example, wine and cloth produced by equal quantities of labor would have different values because wine was "called upon to yield profit during a longer period of time than the other."[44] Furthermore, "all commodities made by machinery are assimilated, at least approximately, to the wine in the preceding example."[45]

As discussed in some detail in Chapter 5, Ricardo had been well aware of these causes of prices deviating from proportionality to labor values. He had, however, considered them of secondary importance and believed that they could be systematically accounted for while still retaining the labor theory of value. Mill disagreed. He reverted back to Smith's "adding-up" cost-of-production theory, which, it will be remembered, Ricardo had opposed for good reason.

Mill's eclecticism, however, led to persistent inconsistencies. Sometimes his view of profits was identical to Ricardo's; profits were simply the surplus

produce of labor over and above the produce necessary to sustain laborers. This view was clearly stated in the following quotation:

> The cause of profit is, that labour produces more than is required for its support. . . . To vary the form of the theorem: the reason why capital yields a profit, is because food, clothing, materials, and tools, last longer than the time which was required to produce them; so that if a capitalist supplies a party of labourers with these things, on condition of receiving all they produce, they will, in addition to reproducing their own necessaries and instruments, have a portion of their time remaining, to work for the capitalist. We thus see that profit arises, not from the incident of exchange, but from the productive power of labour.[46]

In Mill's simple adding-up cost-of-production theory, however, market price was determined by supply and demand. Over time, the market price would approximate the natural price (as was the case in Smith's theory), which was equal to the summation of the three components of cost: the price of land, the price of labor, and the price of capital. This view was antithetical to the labor theory because it assumed that *profit was the natural price of capital,* rather than a surplus or a residual. Furthermore, profit was a *price* paid in an *exchange* for some *service* of a capitalist. Thus, contrary to the above quotation from Mill, the adding-up cost-of-production theory saw profit originating because of exchange, not production.

When Mill shifted to his adding-up cost-of-production theory, the effect on his view of profits was obvious:

> As the wages of the labourer are the remuneration of labour, so the profits of the capitalist are properly, according to Mr. Senior's well-chosen expression, the remuneration of abstinence. They are what he gains by forbearing to consume his capital for his own uses, and allowing it to be consumed by productive labourers for their uses. For this forbearance he requires a recompense.[47]

This view, rather than Ricardo's, dominated Mill's *Principles.* He unequivocally stated that profit was the remuneration for services and that there was a minimum or natural rate of profit:

> The gross profits from capital . . . must . . . afford a sufficient equivalent for abstinence, indemnity for risk, and remuneration for the labour and skill required for superintendence. . . . The lowest rate of profit which can permanently exist, is that which is barely adequate . . . to afford an equivalent for the abstinence, risk and exertion implied in the employment of capital.[48]

Thus, in this view profit did arise in exchange and not in production. Profit was the remuneration, through exchange, for abstinence, risk, and exertion.

Mill believed that nearly all natural prices were determined by his adding-up cost-of-production theory. Unlike Ricardo and Marx, he abandoned the notion that labor underlay the exchange value of a commodity. Value for Mill meant simply exchange value, or relative price. He had no notion of labor value. He

therefore did not understand why Ricardo had sought an invariable measure of value (see Chapter 5) and dismissed Ricardo's search as both impossible and irrelevant to value theory.[49]

Mill discussed several exceptions to the rule that the costs of production determine natural prices. Two of his exceptions were of particular importance: the cases of international prices and the price of labor, or wages. Mill's theory of the determination of international prices was perhaps one of his most significant original contributions to economic theory. With modifications, it remains today the principal orthodox theory of international prices. We will discuss this theory only very briefly here. In the next section of this chapter, we shall discuss his writings on the determination of wages.

Ricardo showed (see Chapter 5) that when two countries had different ratios of costs in the production of two commodities, both countries could benefit from specializing in the production of the commodity that they produced *relatively* more cheaply. This mutual benefit would depend on the international ratio of exchange (i.e., the international price ratio), which would fall somewhere between the two ratios of costs prevailing in the two countries. But Ricardo made no attempt to explain how international prices were actually determined.

Within one country, Mill argued, prices were equal to the costs of production because competition tended to equalize these costs (including an equalization of the rate of profit) and to force prices into equality with costs. The factors of production could not, however, move freely between countries. Therefore, competition would not equalize wage or profit rates between different countries; price ratios would not be equalized; and international prices would depend exclusively on supply and demand—not on costs of production.

Mill proposed that international supply and demand could be analyzed on the supposition that each country would always be forced to balance its international payments, that is, the income from exports would have to equal the outlay for imports. Therefore, at each possible price (between the limits of the cost ratios prevailing in the two countries), each country would offer a certain quantity of its exports in exchange for a certain quantity of the other country's exports. As the price varied, the quantities offered and demanded would vary. On a graph, a curve could be constructed depicting the various quantities a given country would export and import, always keeping international payments equal to receipts, at every price falling between the ratios of production costs in the two countries. Such a curve has come to be known as an "offer curve." Each country would have such an offer curve. If these curves crossed at a particular price, then that price would equate the value of the imports the first country demanded with the value of the exports the second country supplied and vice versa. Then, prices that fulfilled this condition would be equilibrium prices, whereby the "produce of a country exchanges for the produce of other countries, at such values as are required in order that the whole of her exports may exactly pay for the whole of her imports."[50]

Mill on Wages

In Chapter 6 we saw that Senior used the wages fund doctrine to argue that the wages of labor were determined by the size of the fund that capitalists had set aside to pay wages and the number of workers among whom this fund had to be divided. Nearly all of the classical economists had accepted some version of the wages fund doctrine, and, in his *Principles,* Mill accepted it. "The demand for labour," he asserted, "is constituted solely by the funds directly set apart for the use of labourers."[51] This meant that wages would depend on the supply of labor, or the number of workers sharing this fund. Mill, like Malthus and most of the classical economists, believed that the most effective way of raising the wages of labor was through education, which would decrease the size of laborers' families.

Malthus had concluded that laborers did not have the "moral character" to practice sexual abstinence and were therefore condemned to misery and vice, or, ultimately, starvation. Mill, however, did not consider birth control to be a vice. He believed that through education workers would increasingly make use of various methods of birth control, which would limit the size of their families and raise their standard of living.

Senior used the wages fund doctrine to argue for the uselessness of labor combinations. Mill arrived at a very different conclusion, however. "Experience of strikes" made possible by combinations, he asserted, "has been the best teacher of the labouring classes on the subject of the relation between wages and the demand and supply of labour."[52]

In 1869, however, in a review of a book by William T. Thornton, Mill repudiated the wages fund doctrine. In this review, Mill argued that wages were not limited by the amount that capitalists had previously set aside to pay for labor. Rather, the limit was the total profits of capitalists minus what the capitalists needed "to maintain themselves and their families."[53] Therefore, wages would not be determined by the wages fund but by a competitive struggle between laborers and capitalists. Mill had reversed the wages fund doctrine: now the size of the wages fund was determined by the rate of wages, which was determined by class struggle. If a capitalist "has to pay more for labour, the additional payment comes out of his own income."[54]

Thus, Mill came to see combinations and labor strikes as not only educational but also potentially important in redistributing income from profits to wages. Unlike Malthus, Say, Senior, and Bastiat, Mill's sympathy was with the workers:

> Having regard to the greatly superior numbers of the labouring class, and the inevitable scantiness of the remuneration afforded by even the highest rates of wages which, in the present state of the arts of production, could possibly become general; whoever does not wish that the labourers may prevail and that the highest limit, whatever it be, may be attained, must have a standard of morals, and a conception of the most desirable state of society, widely different from those of either Mr. Thornton or the present writer.[55]

Mill's recantation of the wages fund doctrine was important in influencing his opinion of the possible gains to the working class of combining into unions and struggling collectively against the capitalists. It did not, however, change his earlier position, stated in the *Principles,* that the price of labor—wages—was *not* determined by the costs of production. In fact, repudiating the wages fund doctrine strengthened his view that wages were determined more by social and political factors than by narrowly defined economic factors.

Tendency for the Rate of Profit to Fall

One area in which Mill considered himself a disciple of Ricardo was his theory of the long-run decline in the rate of profit. He expressed agreement with Ricardo's view in one sentence: "The effect of accumulation, when attended by its usual accompaniment, an increase of population, is to increase the value and price of food, to raise rent and to lower profits."[56] Here, as in so many other parts of Mill's writings, the qualifications were more important than the original principle. He discussed several circumstances that would counteract the tendency for the rate of profit to fall. Of those counteracting forces, two were particularly important—the export of capital and periodic commercial crises.

Mill's discussion of the export of capital is important because it is very similar to that of Marx and that of Lenin, the latter of which was developed after European imperialism had become a major world force. For Mill, the export of capital was one of the most important

> counter-forces which check the downward tendency of profits, in a country whose capital increases faster than that of its neighbours and whose profits are therefore nearer to the minimum. This is the perpetual overflow of capital into colonies or foreign countries, to seek higher profits than can be obtained at home. . . . It has a twofold operation. In the first place, it does what a fire, or an inundation, or a commercial crisis would have done: it carries off a part of the increase of capital from which the reduction of profits proceeds. Secondly, the capital so carried off is not lost, but it is chiefly employed . . . in founding colonies, which become large exporters of cheap agricultural produce. . . . It is to the emigration of English capital, that we have chiefly to look for keeping up a supply of cheap food and cheap materials of clothing, proportional to the increase in our population; thus enabling an increasing capital to find employment in . . . [our] country, without a reduction in profit. . . . Thus, the exportation of capital is an agent of great efficacy in extending the field of employment for that which remains; and it may be said truly that . . . the more capital we send away, the more we shall possess and be able to retain at home.[57]

The second counteracting force was "one which is so simple and so conspicuous, that some political economists . . . have attended to it almost to the exclusion of all others. This is, the waste of capital in periods of over-trading and rash speculation, and in the commercial revulsions by which such times are always followed."[58] Thus, Mill argued that periodic business crises destroyed capital and stemmed the downward tendency of the rate of profit.

From this, it would appear that Mill could be classed with Malthus and Marx as a nineteenth-century theorist who rejected Say's law that market capitalism automatically tends to produce full employment. He asserted that there were recurring periods of "over-trading" and "rash speculation" during which "mines are opened, railways or bridges made, and many other works of uncertain profit commenced." More important, "factories are built and machinery erected beyond what the market requires, or can keep in employment."[59] Inevitably, after "a few years have passed over without a crisis, so much additional capital has been accumulated, that it is no longer possible to invest it at the accustomed profit."[60] When that happened,

> establishments are shut up, or kept working without any profit, hands are discharged, and numbers of persons in all ranks, being deprived of their income . . . find themselves, after the crisis has passed away, in a condition of more or less impoverishment. Such are the effects of a commercial revulsion: and that such revulsions are almost periodical, is a consequence of the very tendency of profits which we are considering.[61]

But despite this insightful analysis of depressions and business cycles, Mill defended Say's law.

When he considered Malthus's doctrine "that there may be a supply of commodities in the aggregate surpassing the demand," he concluded, "The doctrine appears to me to involve so much inconsistency in its very conception, that I feel considerable difficulty in giving any statement of it which shall be at once clear, and satisfactory to its supporters."[62]

Mill's objection to Malthus's doctrine and his defense of Say's law rested on two points, one definitional and one theoretical. First, Mill simply insisted on labeling what others called "an overproduction of commodities" or a "general glut" as an "under-supply of money": "At such times there is really an excess of all commodities above the money demand: in other words there is an undersupply of money."[63] But neither Malthus nor any other theorist had ever stated that there was an oversupply of goods relative to human needs or desires. They had only said exactly what Mill had stated: that an oversupply of goods relative to money demand frequently existed. Mill's definitional quibble hardly elucidated a glaring inconsistency that would render the principle hard to state clearly.

Second, Mill's theoretical objection to Malthus's doctrine, and consequent defense of Say's law, was simply a statement that, *in the long run,* market capitalism would automatically pull out of depressions and ultimately attain full employment. He agreed that these "derangements of markets" were a social "evil" but insisted that they were "temporary."[64] The most famous twentieth-century elaborator of Malthus's doctrine, John Maynard Keynes, was to say in response to Mill's and subsequent neoclassical economists' defenses of Say's law: "In the long run we are all dead." Meanwhile, as Mill himself said, each crisis left innumerable people "in a condition of more or less impoverishment."

Mill on Socialism

Mill, unlike Say, Senior, and Bastiat, did not defend private ownership of the means of production as sacrosanct. Unlike Senior and Bastiat, he had read widely in actual history and did not conjure up a "history" of private property and wealth whereby the thrifty, industrious, and virtuous had supposedly accumulated capital and the profligate sinners had squandered everything to the point where they and their families had nothing. He wrote:

> The social arrangements of modern Europe commenced from a distribution of property which was the result, not of just partition, or acquisition by industry, but of conquest and violence: and notwithstanding what industry has been doing . . . to modify the work of force, the system still retains many and large traces of its origin. The laws of property have never yet conformed to the principles on which the justification of private property rests.[65]

Moreover, Mill morally condemned the effects of the concentration of the ownership of nearly all of the means of production in the hands of a small capitalist class. He realized that this created a tiny parasitic class, living in luxury, whose income had no necessary connection to productive activity. The existing class structure was, he believed, "by no means a necessary or permanent state of social relations":

> I do not recognize as either just or salutary, a state of society in which there is any "class" which is not labouring; any human beings, exempt from bearing their share of the necessary labours of human life, except those unable to labor, or who have fairly earned rest by previous toil. So long, however, as the great social evil exists of a non-labouring class, labourers also constitute a class.[66]

Mill not only morally rejected the capitalist class structure of his time, because of its extremes of wealth and poverty, he also believed it would ultimately be abolished. "It is not to be expected," he wrote, "that the division of the human race into two hereditary classes, employers and employed, can be permanently maintained."[67] The principal question that concerned Mill was the direction and speed of the social change by which capitalism would evolve into some form of socialist or communist society. There was no question in his mind about whether a communist society would be morally superior to the capitalist society of his era:

> If, therefore, the choice were to be made between Communism with all its chances, and the present state of society with all its sufferings and injustices; if the institution of private property necessarily carried with it as a consequence, that the produce of labour should be apportioned as we now see it, almost in an inverse ratio to the labour the largest portion to those who have never worked at all, the next largest to those whose work is almost nominal, and so on in a descending scale, the remuneration dwindling as the work grows harder and more disagreeable, until the most fatiguing and exhausting bodily labour cannot count with certainty on being able to earn even the necessaries of life; if this or Communism were the alternative, all the difficulties, great or small, of Communism would be but as dust in the balance.[68]

However, despite Mill's beliefs that either socialism or communism was morally preferable to the capitalism of his era and that a society divided "into two hereditary classes" could not "be permanently maintained," it is questionable whether he could properly be called a socialist. On this point, his anti-utilitarian judgments of different character types—or different kinds of desires and pleasures—became important. Socialism would become a possibility when, and only when, people's characters had been elevated. A socialist society, he insisted, was "at present workable only by the *elite* of mankind."[69]

In the meantime, the competitive "struggle for riches" was all that was possible for the majority of society:

> That the energies of mankind should be kept in employment by the struggle for riches . . . until the better minds succeed in educating the others into better things, is undoubtedly more desirable than that they should rust and stagnate. While minds are coarse they require coarse stimuli, and let them have them. In the meantime, those who do not accept the present very early stage of human improvement as its ultimate type, may be excused for being comparatively indifferent to the kind of economic progress which excites the congratulations of ordinary politicians; the mere increase of production and accumulation.[70]

Mill advocated the encouragement of small cooperatives, such as those proposed by Owen and Fourier. "Whatever may be the merits or defects of these various schemes," he argued, "they cannot be truly said to be impracticable."[71] Over a long period of time, if these cooperatives prove to be economically and socially successful, then "there can be no doubt . . . that the relation of masters and workpeople will be gradually superseded by partnership, in one of two forms: in some cases, association of the labourers with the capitalist; in others, and perhaps finally in all, association of labourers among themselves."[72] But this was to be a spontaneous, voluntary process that would undoubtedly take a very long time. Mill advocated that

> in the meantime we may, without attempting to limit the ultimate capabilities of human nature, affirm that the political economist, for a considerable time to come, will be chiefly concerned with the conditions of existence and progress belonging to a society founded on private property and individual competition; and that the object to be principally aimed at, in the present stage of human improvement, is not the subversion of the system of individual property, but the improvement of it, and the full participation of every member of the community in its benefits.[73]

Mill's Interventionist Reformism

Despite his sympathy for socialist ideas, Mill's immediate objective was to promote the reform of capitalism. Against those, such as Bastiat, who believed in the sacredness of existing property rights, Mill argued that "society is fully entitled to abrogate or alter any particular right of property which on sufficient consideration it judges to stand in the way of the public good."[74] In accordance with this view of property, Mill stated that

> it is not admissible that the protection of persons and that of property are the sole purposes of government. The ends of government are as comprehensive as those of social union. They consist of all the good and all the immunity from evil, which the existence of government can be made either directly or indirectly to bestow.[75]

Mill believed that the government should intervene to modify the socially adverse effects of the free market in three principal areas. First, as a result of free market capitalism, "the immense majority are condemned from their birth to a life of never-ending, never-intermitting toil, requited by a bare, and in general a precarious, subsistence."[76] Second, the natural complement of this extreme poverty was "that a small minority of mankind . . . [was] born to the enjoyment of all the external advantages which life can give, without earning them by any merit or acquiring them by any exertion of their own."[77] Third, there were many businesses that could

> only be advantageously carried on by a large capital, this in most countries limits so narrowly the class of persons who can enter into the employment, that they are enabled to keep their rate of profit above the general level. A trade may also, from the nature of the case, be confined to so few hands, that profits may admit of being kept up by a combination of the dealers. . . . [78]

> The monopolist can fix the value as high as he pleases, short of what the consumer either could not or would not pay; but he can only do so by limiting the supply.[79]

Thus, in spite of Mill's insistence that "*laissez faire* . . . should be the general practice" and that "every departure from it, unless required by some great good, is a certain evil,"[80] he advocated active government intervention in each of these three areas.

In his proposed measures to eradicate poverty, we can see how far Mill was from agreeing with the utilitarian dictum that "quantity of pleasure being equal, pushpin is as good as poetry." We have seen that the principle involved in that dictum—and the principle is at the very heart of utilitarianism—is that every individual is always the best judge of his or her own welfare. Remembering the earlier quotation from Mill comparing a "dissatisfied Socrates" and a "satisfied fool," it is not surprising that he wrote:

> The individual who is presumed to be the best judge of his own interests may be incapable of judging . . . for himself. . . . In this case the foundation of the *laissez faire* principle breaks down entirely. The person most interested is not [always] the best judge of the matter, nor a competent judge at all.[81]

The poor, he argued, were frequently not in a position to judge properly what would best promote their interests. To alter the characters, habits, and judgments of the poor, Mill believed:

> There is need of a twofold action, directed simultaneously upon their intelligence and their poverty. An effective national education of the children of the labouring class, is the first thing needful; and, coincidentally with this, a system of measures which shall . . . extinguish extreme poverty for one whole generation.[82]

The principal means suggested by Mill for extinguishing extreme poverty for an entire generation were, first, "a grant of public money, sufficient to remove at once, and establish in the colonies, a considerable fraction of the youthful agricultural population," and second, the devotion of "all common land, hereafter brought into cultivation . . . to the benefit of the poor."[83]

Against those who believed that the financing of such schemes would drastically curtail the accumulation of capital, Mill asserted that "the funds . . . would not be drawn from the capital employed in maintaining labour, but from that surplus which cannot find employment . . . and which is therefore sent abroad for investment, or wasted at home in reckless speculations."[84]

An interesting inconsistency in Mill's ideas may be noted here: If such excess capital was to be more or less continuously available for an entire generation, then how could Mill maintain that it was only because of the existing rate of profit that people saved and practiced abstinence? Once again, this inconsistency is an important clue to the social class orientation of Mill's writings. He was an eclectic humanitarian whose aversion to injustice and the extremes of wealth and poverty, however strong it was, was not sufficient to cause him to abandon entirely the ideological rationale for capitalists' receipt of profits.

In addition to the above, Mill advocated laws protecting the rights of working people to form unions, laws preventing the abuse or overworking of children in any hired employment,[85] and laws limiting the number of hours a worker may be employed.[86] Laws limiting the length of the working day were necessary because of the powerlessness of a single worker when bargaining with a capitalist. As long as capitalists could easily replace any given worker, then no single worker or small group of workers would ever have the power to decrease the length of the working day, regardless of how beneficial such a reduction would be to all society. A similar argument could be made for laws enforcing minimum safety standards in all factories. Finally, the government should, Mill believed, provide a minimum subsistence for all those unable or unwilling to work. In this regard, he defended Senior's philosophy that underlay the Poor Law of 1834. Assistance to the indigent was good, Mill argued, only "if, while available to everybody, it leaves to everyone a strong motive to do without it if he can. . . . This principle, applied to a system of public charity, is that of the poor law of 1834."[87]

The principal reform whereby Mill sought to diminish the extremes of wealth was a tax on inheritances:

> The power of bequeathing is one of the privileges of property which are fit subjects for regulation on grounds of general expediency; and . . . as a possible mode of restraining the accumulation of large fortunes in the hands of those who have not earned them by exertion, [there should be] a limitation of the amount which any person should be permitted to acquire by gift, bequest, or inheritance.[88]

The final major area in which Mill advocated government intervention into the market was where a natural monopoly or a monopolistic control by a few

colluding sellers resulted in harm to society's well being. "There are many cases," he wrote, "in which a practical monopoly, with all the powers it confers of taxing the community, cannot be prevented from existing."[89] In such cases,

> the community needs some other security . . . than the interest of the managers; and it is the part of the government, either to subject the business to reasonable conditions for the general advantage, or to retain such power over it that the profits of the monopoly may at least be obtained by the public.[90]

A Critique of Mill's Reformism

One central theme of the present book is that utilitarianism—particularly the utility theory of value and exchange—when consistently developed, generally provides a powerful intellectual justification for the status quo of market capitalism. Mill, however, was a reformer who claimed to be a utilitarian. But as we have seen, his views contradicted two of the cardinal tenets of utilitarianism: the notion that all motives are reducible to self-interest and the notion that each individual's desires or pleasures are synonymous with his or her well-being; that is, each individual is always the best judge of his or her own welfare.

Had Mill been a consistent utilitarian, his reformist views would be easy to dismiss. Not only does utilitarianism preclude the possibility of invidious comparisons of the desires of different individuals (which is, as discussed in the previous chapter, the basis of its severely restricted applicability to only those situations in which unanimity prevails), it is so extremely individualistic that its own social ethic can be shown to be incompatible with its individual ethic. The proof of this statement is simple: if something is good only because it is desired by, or gives pleasure to, a particular individual, then a maximum of total social utility is good only if it is desired by a particular individual. If all individuals desire maximum social utility, then the utilitarian unanimity requirement is satisfied and there are no problems. But let there be even one misanthrope in society and contradiction appears. The misanthrope derives pleasure from the pain of others. The optimum situation for him or her would be a maximum of human pain, or a maximum social disutility, or a minimum of social utility. But pushpin is as good as poetry. We have no basis in utilitarianism for elevating the desires of a philanthropist (if indeed there can be such people who act exclusively from self-interest) above those of the misanthrope. Where, then, does this leave the utilitarian social ethic? It requires unanimity or it is nonexistent.

But suppose we grant utilitarianism both its individualistic ethic and its social ethic on the grounds that the foundations, or first principles, of any philosophical system ought not to be used as a basis for rejecting that philosophy itself. Utilitarianism still leaves no room for us to hope that a government will institute reforms designed to maximize utility. There are two reasons for this: first, the government would have to restrict itself to those reforms that had the unanimous

support of every person. If a minority opposed the reform, then the government would be left in the position of comparing the increased pleasures of some people with the decreased pleasures of others. When discussing modern neoclassical welfare economics, we will see that, down to the present time, utilitarians have never found an escape from their unanimity requirement. If the good depends exclusively on subjective states of individuals' consciousnesses, then unanimity is required because such states can never be directly compared.

The second reason utilitarianism cannot be the intellectual basis for advocating reforms was mentioned above in our discussions of both Bastiat and Bentham: governments are made up of people. If all people act exclusively from self-interest, then we must endeavor to find what would be in the self-interest of politicians in a capitalist system. To ask the question is to answer it. Money is, and always has been, the lifeblood of politics in a capitalist system. To come to political power requires money and money perpetuates such power. The laws of private property and contracts as well as the innumerable legal privileges of monopoly, subsidies, and tax exemptions all support and perpetuate the existing extremes of wealth and poverty. It is difficult to imagine an exchange that would be of more mutual benefit to the parties involved than that between the politicians in a capitalist system and those who derive their massive wealth and incomes from the legal foundations of capitalism.

While this second critique is decisive against utilitarian reformism, it merely poses an extraordinarily difficult obstacle for other reformers who do not accept the utilitarian philosophy. In this respect, Mill's rejection of utilitarianism simply meant that the possibility of his reforms was not precluded by his view of human nature. Had he been a consistent utilitarian, he would have had to believe that every politician was only interested in his own welfare. A politician acting in accordance with the utilitarian view of human nature would support political reforms designed to promote the welfare of the poor at the expense of the rich only if such a change was more profitable for that politician. But having rejected two of the most fundamental tenets of utilitarianism, it was possible for Mill to hope that a public-spirited, benevolent politician who was primarily concerned with the general public welfare might come to power.

Thus, the problem for Mill was not one of an impossibility (insofar as he rejected Benthamite utilitarianism) but rather an improbability. The problem for Mill was that he was a part of a capitalist system in which money was power and power begot more money. In Mill's own words, in capitalism "the energies of mankind" were "kept in employment by the struggle for riches." And "while minds are coarse they require coarse stimuli."[91]

Mill was not totally unaware of this difficulty. He realized that as long as the capitalists and workers viewed themselves as antagonistic classes, politics would be an arena of class struggle in which, under normal circumstances, capitalists could be expected to dominate. He hoped, however, that the "struggle for riches" might eventually subside among the wealthy. They might become satisfied with what they already had. If this happened, the prospects for reform

would indeed be improved. Under these circumstances, Mill wrote, "where the rich are content with being rich, and do not claim as such any political privileges, their interest and that of the poor are generally the same."[92]

Unfortunately for the poor, in the 162 years since the publication of Mill's *Principles of Political Economy,* the rich have seldom been "content with being rich" and have never renounced their claim to "political privileges." Rereading the passages quoted from Mill in the section on socialism, one wonders where he would stand today.

Notes to Chapter 8

1. Quoted in Alexander Gray, *The Socialist Tradition* (London: Longmans, 1963), p. 105.
2. Quoted in Sydney H. Coontz, *Productive Labor and Effective Demand* (New York: Augustus M. Kelley, 1966), p. 54.
3. Frédéric Bastiat, *Economic Harmonies* (Princeton, NJ: D. Van Nostrand, 1964), p. xxv.
4. Ibid., p. 569.
5. Ibid., p. 487.
6. Ibid., p. 66.
7. Ibid., p. 59.
8. Ibid., p. 81.
9. Ibid., p. xxi.
10. Ibid., pp. xxxiii–xxxiv.
11. Ibid., p. 27.
12. Ibid., p. 46.
13. Ibid., p. 27.
14. Ibid.
15. Ibid., p. 33.
16. Ibid., p. 27.
17. Bastiat, *Economic Harmonies,* p. 75.
18. Ibid., p. 134.
19. Ibid., p. 148.
20. Ibid., p. 150.
21. Frédéric Bastiat, *Selected Essays on Political Economy* (Princeton, NJ: D. Van Nostrand, 1964), p. 97.
22. Ibid., p. 99.
23. Bastiat, *Economic Harmonies,* p. 200.
24. Ibid., p. 196.
25. Ibid., p. 29.
26. Ibid., p. 253.
27. Ibid., p. 459.
28. Ibid., p. 455.
29. Ibid., p. 457.
30. Ibid., p. 26.
31. Ibid., p. 36.
32. Ibid., p. 192.
33. Ibid., p. 193.
34. Ibid., p. xxiv.
35. Ibid., p. xxxvii.
36. John Stuart Mill, *Principles of Political Economy* (New York: Augustus M. Kelley, 1965), p. 21.
37. Ibid., p. 21.
38. Ibid., p. 233.
39. Ibid., pp. 435–436.

40. John Stuart Mill, "Utilitarianism," in *Utilitarianism, Liberty, and Representative Government* (New York: Dutton, 1951), p. 10.
41. Ibid., p. 12.
42. Mill, *Principles,* p. 22.
43. Ibid., pp. 457–58.
44. Ibid., p. 463.
45. Ibid.
46. Ibid., pp. 416–17.
47. Ibid., p. 404.
48. Ibid., pp. 406–7.
49. Ibid., pp. 564–68.
50. Ibid., p. 592.
51. Ibid., p. 80.
52. Ibid., p. 936.
53. John Stuart Mill, *Dissertations and Discussions,* 5 vols. (New York: Henry Holt, 1874), vol. 5, p. 49.
54. Ibid., vol. 5, p. 50.
55. Ibid., vol. 5, p. 75.
56. Mill, *Principles,* p. 842.
57. Ibid., pp. 738–39.
58. Ibid., pp. 733–34.
59. Ibid., p. 734.
60. Ibid.
61. Ibid.
62. Ibid., pp. 556–57.
63. Ibid., p. 561.
64. Ibid.
65. Ibid., p. 208.
66. Ibid., pp. 752–53.
67. Ibid., p. 761.
68. Ibid., p. 208.
69. John Stuart Mill, "Socialism," in *Socialism and Utiltarianism* (Chicago: Belfords, Clarke and Co., 1879), pp. 123–24.
70. Mill, *Principles,* p. 749.
71. Ibid., p. 204.
72. Ibid., pp. 763–64.
73. Ibid., p. 217.
74. Mill, "Socialism," p. 136.
75. Mill, *Principles,* pp. 804–5.
76. Mill, *Dissertations and Discussions,* vol. 3, p. 59.
77. Ibid., 3:59.
78. Mill, *Principles,* p. 410.
79. Ibid., p. 449.
80. Ibid., p. 950.
81. Ibid., p. 957.
82. Ibid., p. 380.
83. Ibid., pp. 381–82.
84. Ibid., p. 382.
85. Ibid., p. 958.
86. Ibid., pp. 963–64.
87. Ibid., p. 968.
88. Ibid., p. 809.
89. Ibid., p. 962.
90. Ibid.
91. Ibid., p. 749.
92. Mill, *Dissertations and Discussions,* vol. 2, p. 114.